Barclays Bank of Kenya Limited Financial Statements

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the ended 30 September 2018

	Bank					Group				
	September 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited	June 2018 Shs '000 Unaudited	September 2018 Shs '000 Unaudited	September 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited	June 2018 Shs '000 Unaudited	September 2018 Shs '000 Unaudited
I Statement of financial position										
A Assets										
1 Cash balances (both local and foreign)	4,009,751	4,719,625	4,544,876	3,716,776	4,435,770	4,009,751	4,719,625	4,544,876	3,716,776	4,435,770
2 Balances due from Central Bank of Kenya	11,608,676	11,634,615	8,510,643	11,999,550	16,760,347	11,608,676	11,634,615	8,510,643	11,999,550	16,760,347
3 Kenya government and other securities held for dealing purposes	6,789,904	9,608,230	17,560,362	22,985,975	28,261,441	6,789,904	9,608,230	17,560,362	22,985,975	28,261,441
4 Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-
5 Investment securities:	-	-	-	-	-	-	-	-	-	-
a) Held to maturity:	-	-	-	-	-	-	-	-	-	-
a. Kenya government securities	-	-	-	-	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-	-	-	-	-
b) Available for sale:	57,509,641	58,376,465	66,904,029	70,243,356	74,494,127	57,609,641	58,476,028	67,003,592	70,342,919	74,595,473
a. Kenya government securities	57,509,641	58,376,465	66,904,029	70,243,356	74,494,127	57,609,641	58,476,028	67,003,592	70,342,919	74,595,473
b. Other securities	-	-	-	-	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	5,600,000	1,300,000	4,000,000	3,300,000	1,000,000	5,600,000	1,300,000	4,000,000	3,300,000	1,000,000
7 Deposits and balances due from banking institutions abroad	1,016,041	518,113	346,727	6,587,838	676,446	1,016,041	518,113	346,727	6,587,838	676,446
8 Tax recoverable	433,957	336,209	-	568,789	607,410	437,630	414,659	-	648,250	653,555
9 Loans and advances to customers (net)	167,249,182	168,397,417	165,541,052	176,115,166	178,434,467	167,249,182	168,397,417	165,541,052	176,115,166	178,434,467
10 Balances due from banking institutions in the group	10,095,900	3,464,630	7,665,218	9,323,729	4,283,773	10,095,900	3,464,630	7,665,218	9,323,729	4,283,773
11 Investment in associates	-	-	-	-	-	-	-	-	-	-
12 Investment in subsidiary companies	362,512	362,761	362,761	362,761	362,761	-	-	-	-	-
13 Investment in joint ventures	-	-	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-	-	-
15 Property and equipment	2,907,441	2,744,065	2,654,350	2,548,482	2,399,390	2,907,441	2,744,065	2,654,350	2,548,482	2,399,695
16 Prepaid operating rental leases	55,329	46,394	46,395	46,395	46,395	55,329	46,394	46,395	46,395	46,395
17 Intangible assets	1,210,935	1,130,854	1,029,330	909,681	813,473	1,235,935	1,155,854	1,054,330	955,341	859,134
18 Deferred tax	541,910	684,067	1,532,076	1,622,723	1,746,259	547,195	696,948	1,544,957	1,639,148	1,765,563
19 Retirement benefit asset	160,382	-	-	-	-	160,382	-	-	-	-
20 Other assets	8,057,991	8,358,721	10,595,269	6,676,090	8,315,795	8,646,821	8,000,799	10,219,041	6,419,286	8,054,354
21 Total assets	**277,609,552**	**271,682,166**	**291,293,088**	**317,007,311**	**322,637,854**	**277,969,828**	**271,177,377**	**290,691,543**	**316,628,855**	**322,226,413**
B Liabilities										
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-	-	-
23 Customers' deposits	200,638,484	186,245,380	193,579,258	217,101,933	220,538,197	200,370,484	185,977,380	193,286,258	216,808,933	220,245,197
24 Deposits and balances due to banking institutions (local)	1,559,581	2,061,578	4,703,106	4,569,068	1,275,330	1,559,581	2,061,578	4,703,106	4,569,068	1,275,330
25 Deposits and balances due to banking institutions (foreign)	148,886	997,877	611,121	865,643	1,071,197	148,886	997,877	611,121	865,643	1,071,197
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	-	-	-	-	-	-	-	-	-	-
28 Balances due to banking institutions in the group	22,679,534	28,831,238	38,103,204	41,894,249	43,664,196	22,679,534	28,831,238	38,103,204	41,894,249	43,664,196
29 Tax payable	-	-	608,904	-	-	-	-	570,392	-	-
30 Dividends payable	1,086,307	-	-	1,086,307	1,086,307	1,086,307	-	-	1,086,307	1,086,307
31 Deferred tax liability	-	-	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	3,855	10,150	16,446	22,741	-	3,855	10,150	16,446	22,741
33 Other liabilities	9,475,773	9,983,070	10,069,385	11,359,577	13,070,038	9,581,600	9,206,313	9,162,714	10,581,313	12,177,639
34 Total liabilities	**235,588,565**	**228,122,998**	**247,685,128**	**276,893,223**	**280,728,006**	**235,426,392**	**227,078,241**	**246,446,945**	**275,821,959**	**279,542,607**
C Shareholders' funds										
35 Paid up/assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium/(discount)	-	-	-	-	-	-	-	-	-	-
37 Revaluation reserves	183,292	250,791	265,086	409,248	606,389	183,292	250,485	264,780	408,085	608,002
38 Retained earnings/(accumulated losses)	38,916,627	36,051,918	36,105,958	36,806,068	38,400,681	39,439,076	36,592,192	36,742,902	37,500,039	39,173,026
39 Statutory loan loss reserve	-	-	-	-	-	-	-	-	-	-
40 Other reserves	205,300	195,462	175,919	183,004	187,010	205,300	195,462	175,919	183,004	187,010
41 Proposed dividend	-	4,345,229	4,345,229	-	-	-	4,345,229	4,345,229	-	-
42 Capital grants	-	-	-	-	-	-	-	-	-	-
43 Total shareholders' funds	**42,020,987**	**43,559,168**	**43,607,960**	**40,114,088**	**41,909,848**	**42,543,436**	**44,099,136**	**44,244,598**	**40,806,896**	**42,683,806**
44 Minority interest	-	-	-	-	-	-	-	-	-	-
45 Total liabilities and total shareholders funds	**277,609,552**	**271,682,166**	**291,293,088**	**317,007,311**	**322,637,854**	**277,969,828**	**271,177,377**	**290,691,543**	**316,628,855**	**322,226,413**
II Statement of comprehensive income										
1 Interest income										
1.1 Loans and advances to customers	15,901,661	21,259,156	5,224,837	10,549,748	16,018,702	15,901,661	21,259,156	5,224,837	10,549,748	16,018,702
1.2 Government securities	4,116,164	5,770,087	1,669,058	3,516,094	5,543,273	4,118,821	5,775,128	1,671,807	3,520,758	5,550,294
1.3 Deposits and placements with banking institutions	82,726	117,146	18,175	68,304	104,867	82,726	117,146	18,175	68,304	104,867
1.4 Other interest income	12,078	19,784	7,845	-	-	27,038	19,784	7,845	-	-
1.5 Total interest income	**20,112,629**	**27,166,173**	**6,919,915**	**14,134,146**	**21,666,842**	**20,130,246**	**27,171,214**	**6,922,664**	**14,138,810**	**21,673,863**
2 Interest expenses										
2.1 Customer deposits	3,557,920	4,834,902	1,273,813	2,756,198	4,513,423	3,557,920	4,834,902	1,273,813	2,756,199	4,513,423
2.2 Deposits and placements with banking institutions	423,202	556,064	191,646	427,647	682,140	423,202	534,890	186,000	416,090	664,799
2.3 Other interest expenses	-	-	-	-	-	-	-	-	-	-
2.4 Total interest expenses	**3,981,122**	**5,390,966**	**1,465,459**	**3,183,845**	**5,195,563**	**3,981,122**	**5,369,792**	**1,459,813**	**3,172,289**	**5,178,222**
3 Net interest income	**16,131,507**	**21,775,207**	**5,454,456**	**10,950,301**	**16,471,279**	**16,149,124**	**21,801,422**	**5,462,851**	**10,966,521**	**16,495,641**
4 Non - interest income										
4.1 Fees and commissions income on loans & advances	532,017	635,895	172,497	474,321	809,637	532,017	635,895	172,497	474,321	809,637
4.2 Other fees and commissions	3,077,548	4,186,273	1,027,147	2,018,495	3,017,032	3,479,122	4,636,524	1,188,482	2,291,059	3,421,372
4.3 Foreign exchange trading income	2,162,924	2,863,594	759,611	1,641,627	2,522,533	2,162,924	2,863,594	759,611	1,641,627	2,522,533
4.4 Dividend income	-	-	-	-	-	-	-	-	-	-
4.5 Other income	281,565	321,117	129,496	289,923	605,202	281,565	321,116	129,497	289,924	605,202
4.6 Total non-interest income	**6,054,054**	**8,006,879**	**2,088,751**	**4,424,366**	**6,954,404**	**6,455,628**	**8,457,129**	**2,250,087**	**4,696,931**	**7,358,744**
5 Total operating income	**22,185,561**	**29,782,086**	**7,543,207**	**15,374,667**	**23,425,683**	**22,604,752**	**30,258,551**	**7,712,938**	**15,663,452**	**23,854,385**
6 Operating expenses										
6.1 Loan loss provision	2,332,967	3,115,113	575,482	1,716,942	2,829,198	2,332,967	3,115,113	575,482	1,716,942	2,829,198
6.2 Staff costs	8,023,325	10,011,544	2,727,470	5,051,770	7,377,477	8,100,735	10,113,604	2,754,664	5,104,533	7,458,480
6.3 Directors emoluments	104,109	141,175	36,243	73,169	112,053	104,109	141,175	36,243	74,452	113,337
6.4 Rental charge	952,258	1,335,579	277,693	590,563	865,681	954,244	1,338,142	279,066	595,938	867,926
6.5 Depreciation on property and equipment	587,991	766,918	210,727	421,535	603,740	587,991	766,918	210,727	421,535	603,740
6.6 Amortisation charges	359,299	465,018	105,132	204,593	305,645	359,299	465,018	105,132	204,593	305,645
6.7 Other operating expenses	2,442,865	3,940,875	1,034,464	2,250,730	3,942,480	2,455,650	3,957,602	1,039,030	2,259,642	3,955,136
7 Total operating expenses	**14,802,814**	**19,776,222**	**4,967,211**	**10,309,302**	**16,036,274**	**14,894,995**	**19,897,572**	**5,000,344**	**10,377,635**	**16,133,462**
Profit before tax and exceptional items	**7,382,747**	**10,005,864**	**2,575,996**	**5,065,365**	**7,389,409**	**7,709,757**	**10,360,979**	**2,712,594**	**5,285,817**	**7,720,923**
8 Exceptional items	-	-	-	-	-	-	-	-	-	-
9 Profit after exceptional items	**7,382,747**	**10,005,864**	**2,575,996**	**5,065,365**	**7,389,409**	**7,709,757**	**10,360,979**	**2,712,594**	**5,285,817**	**7,720,923**
10 Current tax	(2,376,677)	(3,526,653)	(937,249)	(1,706,134)	(2,644,869)	(2,475,807)	(3,643,519)	(985,051)	(1,775,813)	(2,750,027)
11 Deferred tax	94,936	200,366	146,389	248,521	458,455	95,964	208,859	154,882	252,065	464,159
12 Profit after tax and exceptional items	**5,101,006**	**6,679,577**	**1,785,136**	**3,607,752**	**5,202,995**	**5,329,914**	**6,926,319**	**1,882,425**	**3,762,069**	**5,435,055**
13 Other comprehensive income										
13.1 Gains/(losses) from translating the financial statements of foreign operations										
13.2 Fair value changes in available for sale financial assets	479,214	575,641	20,422	226,367	507,998	479,214	575,204	19,984	225,143	510,739
13.3 Revaluation surplus on property, plant and equipment										
13.4 Share of other comprehensive income of associates										
13.5 Income tax relating to components of other comprehensive income	(143,764)	(172,692)	(6,127)	(67,910)	(152,399)	(143,764)	(172,561)	(5,995)	(67,543)	(153,222)
14 Other comprehensive income for the year net of tax	335,450	402,949	14,295	158,457	355,599	335,450	402,643	13,989	157,600	357,517
15 Total comprehensive income for the year	**5,436,456**	**7,082,526**	**1,799,431**	**3,766,209**	**5,558,594**	**5,665,364**	**7,328,962**	**1,896,414**	**3,919,669**	**5,792,572**
Earnings per share (Shs)	0.94	1.23	0.33	0.66	0.96	0.98	1.28	0.35	0.69	1.00
Dividends per share (Shs)	-	1.00	-	0.20	-	-	1.00	-	0.20	-

	Bank				
	September 2017 Shs '000 Unaudited	December 2017 Shs '000 Audited	March 2018 Shs '000 Unaudited	June 2018 Shs '000 Unaudited	September 2018 Shs '000 Unaudited
III Other disclosures					
1) Non-performing loans and advances					
a) Gross non-performing loans and advances	11,935,508	12,614,723	12,629,491	14,357,777	14,598,096
b) Less: Interest in suspense	3,027,322	3,256,066	3,332,688	3,426,117	3,080,779
c) Total non performing loans and advances	8,908,186	9,358,657	9,296,803	10,931,660	11,517,317
d) Less: loan loss provisions	5,359,171	5,570,676	5,717,974	6,368,460	7,209,293
e) Net non performing loans(c-d)	3,549,015	3,787,981	3,578,829	4,563,200	4,308,024
f) Discounted value of securities	1,549,226	1,656,019	1,700,954	972,774	1,033,811
g) Net NPLs (excess)/exposure(e-f)	**1,999,789**	**2,131,962**	**1,877,875**	**3,590,426**	**3,274,213**
2) Insider loans and advances					
a) Directors ,shareholders and associates	44,982	44,114	42,866	42,120	41,713
b) Employees	12,060,280	11,674,004	11,233,471	11,051,378	10,884,953
c) Total insider loans and advances	**12,105,262**	**11,718,118**	**11,276,337**	**11,093,498**	**10,926,666**
3) Off balance sheet items					
a) Letters of credit ,guarantees, acceptances	30,021,966	24,081,886	24,039,028	30,228,325	27,053,399
b) Forwards, swaps and options	39,850,499	44,527,135	49,410,773	49,315,853	49,500,644
c) Other contingent liabilities	-	-	-	-	-
Total contingent liabilities	**69,872,465**	**68,609,021**	**73,449,801**	**79,544,178**	**76,554,043**
4) Capital strength					
a) Core capital	39,081,891	38,767,686	37,929,158	37,717,960	38,515,267
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
C) Excess/(deficiency)	**38,081,891**	**37,767,686**	**36,929,158**	**36,717,960**	**37,515,267**
d) Supplementary capital	5,162,854	5,166,021	5,038,949	5,045,494	5,045,413
e) Total capital	**44,244,745**	**43,933,707**	**42,968,107**	**42,763,454**	**43,560,680**
f) Total risk weighted assets	**246,227,748**	**243,728,272**	**250,482,913**	**256,715,452**	**260,837,332**
g) Core capital/total deposit liabilities	19.4%	20.8%	19.6%	17.6%	17.5%
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%	8.0%
i) Excess/(deficiency)	11.4%	12.8%	11.6%	9.6%	9.5%
j) Core capital/total risk weighted assets	15.9%	15.9%	15.1%	14.7%	14.8%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%	10.5%
l) Excess/(deficiency)	5.4%	5.4%	4.6%	4.2%	4.3%
m) Total capital/total risk weighted assets	18.0%	18.0%	17.2%	16.7%	16.7%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%	14.5%
o) Excess/(deficiency)	3.5%	3.5%	2.7%	2.2%	2.2%
p) Adjusted core capital/total deposit liabilities			21.0%	17.9%	17.9%
q) Adjusted core capital/total risk weighted assets			16.2%	15.0%	15.1%
r) Adjusted total capital/total risk weighted assets			18.2%	16.9%	17.1%
5) Liquidity					
a) Liquidity ratio	38.0%	33.4%	36.2%	38.3%	39.9%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%	20.0%
c) Excess/(deficiency)	18.0%	13.4%	16.2%	18.3%	19.9%

Message from the Directors:

These financial statements are extracts from the books of the institution.
The complete quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.barclays.co.ke.

They may also be accessed at the institutions Head office at The West End Building, Waiyaki way.

They were approved by the board on Wednesday 21st November, 2018 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director

BARCLAYS

absa Part of the Absa family

Barclays Bank of Kenya is regulated by the Central Bank of Kenya